the Sakyong Mipham Rinpoche to determine whether or not the matter should be advanced to a prosecution for fraud.

2 Material Facts.

Corporate History.

Much of what follows borrows liberally from a September 5, 2015 letter and report to the Colorado Attorney General, Philip J. Weiser, by Charles Carreon, hereafter referred to as the Carreon Report.

Corporate Entities.

As per the Carreon Report:

> ... the following Colorado nonprofit and corporate entities, jointly referred to herein as the 'Shambhala Organization,' include[e]
>
> - Shambhala USA
> - Rocky Mountain Shambhala Center, incorporated February 17, 2000
> - The Sakyong's Foundation, incorporated May 4, 2006
> - The Sakyong Ladrang, incorporated January 8, 2009, name changed to The Sakyong Potrang on February 19, 2015
> - Front Range Shambhala, incorporated August 10, 2015
> - Shambhala Mountain Online, LLC, organized August 10, 2015
> - Shambhala Credit Union

Corporate Purpose.

> ... establish, maintain and operate a church and associated activities for religious practice and worship in accordance with the precepts and teachings of the Shambhala and Buddhist lineages of the Sakyongs of Shambhala, as taught and practiced within the Shambhala USA association.

Board Structure to Protect the Lineage Traditions from Attrition, Manipulation, or Misdirection by the actions of non-lineage holders on the Board of Directors.

From an initial Board of Directors of one class of 3 directors which could be increased or decreased as needed over time, the next two iterations of the corporate structure for Vajradathu/Shambala USA/International implemented a Board of Directors with two classes of Directors, the first class was composed of one director, the lineage holder, and was superordinate to the second class of three or more directors. Within this structure, the sole Director of the first board had to consent to absolutely anything the second class wanted to enact. This was most likely instituted to defend the lineages and the lineage holders from both foolish and abusive modifications of the demands of the lineage.